GNS 413

INDUSTRIAL MANAGEMENT HND II

(1) Comprehend private and state control of enterprise:

A private enterprise is one that private citizens own or control. This can be anything from sole ownership to large publicly traded corporations. ... The government has no direct say in the running of the enterprise. This type of enterprise is also known as free enterprise. While

A **state-owned/control enterprise (SOE)** is a business enterprise where the government or state has significant control through full, majority, or significant minority ownership. Defining characteristics of SOEs are their distinct legal form and operation in commercial affairs and activities. While they may also have public policy objectives (e.g., a state railway company may aim to make transportation more accessible), SOEs should be differentiated from government agencies or state entities established to pursue purely nonfinancial objectives.

(a) Types of enterprises:

i. Sole proprietorship. A sole proprietorship is an **enterprise** that is owned and operated by one person only.
ii. Business corporation (corporation)
iii. General partnership (G.P.).
iv. Limited partnership (L.P.).
v. Joint venture (or undeclared partnership).
vi. Non-profit legal person.
vii. Syndicate of co-ownership.
viii. Association.

(b) Objectives of business organization

1. Getting and Staying Profitable.
2. Productivity of People and Resources.
3. Excellent Customer Service.
4. Employee Attraction and Retention.

5. Mission-driven Core Values.
6. Sustainable Growth.
7. Maintaining a Healthy Cash Flow
8. Dealing with Change
9. Reaching the Right Customers
10. Staying Ahead of the Competition

1. Getting and Staying Profitable

Maintaining profitability means making sure that revenue stays ahead of the costs of doing business. Focus on controlling costs in both production and operations while maintaining the profit margin on products sold.

2. Productivity of People and Resources

Employee training, equipment maintenance and new equipment purchases all go into company productivity. Your objective should be to provide all of the resources your employees need to remain as productive as possible.

3. Excellent Customer Service

Good customer service helps you retain clients and generate repeat revenue. Keeping your customers happy should be a primary objective of your organization.

4. Employee Attraction and Retention

Employee turnover costs you money in lost productivity and the costs associated with recruiting, which include employment advertising and paying placement agencies. Maintaining a productive and positive employee environment improves retention.

5. Mission-driven Core Values

Your company mission statement is a description of the core values of your company. It is a summary of the beliefs your company holds in regard to customer interaction, responsibility to

the community and employee satisfaction. The company's core values become the objectives necessary to create a positive corporate culture.

6. Sustainable Growth

Growth is planned based on historical data and future projections. Growth requires the careful use of company resources such as finances and personnel.

7. Maintaining a Healthy Cash Flow

Even a company with good cash flow needs financing contacts in the event that capital is needed to expand the organization. Maintaining your ability to finance operations means that you can prepare for long-term projects and address short-term needs such as payroll and accounts payable.

8. Dealing with Change

Change management is the process of preparing your organization for growth and creating processes that effectively deal with a developing marketplace. The objective of change management is to create a dynamic organization that is prepared to meet the challenges of your industry.

9. Reaching the Right Customers

Marketing is more than creating advertising and getting customer input on product changes. It is understanding consumer buying trends, being able to anticipate product distribution needs and developing business partnerships that help your organization to improve market share.

10. Staying Ahead of the Competition

A comprehensive analysis of the activities of the competition should be an ongoing business objective for your organization. Understanding where your products rank in the marketplace helps you to better determine how to improve your standing among consumers and improve your revenue.

(c) Business Environment

Business environment is the sum total of all external and internal factors that influence a business. You should keep in mind that external factors and internal factors can influence each other and work together to affect a business.

(d) Examine Private Enterprise

Private enterprise. Basis of a free market capitalist system, it is a business unit established, owned, and operated by private individuals for profit, instead of by or for any government or its agencies.

(e) Public Enterprise

Public enterprise, a business organization wholly or partly owned by the state and controlled through a public authority. Some public enterprises are placed under public ownership because, for social reasons, it is thought the service or product should be provided by a state monopoly.

(2) Understanding the method of management

(a) Definition of Management: Management (or **managing**) is the administration of an organization, whether it is a business, a not-for-profit organization, or government body. Management includes the activities of setting the strategy of an organization and coordinating the efforts of its employees (or of volunteers) to accomplish its objectives through the application of available resources, such as financial, natural, technological, and human resources. The term "management" may also refer to those people who manage an organization.

(b) Function of Management:

There are five **functions of management** that span across all industries as a process, where each step builds on the others.

Planning

The first of the managerial functions is **planning**. In this step, the manager will create a detailed action plan aimed at some organizational goal.

Organizing

The second of the managerial functions is **organizing**. This step requires Melissa to determine how she will distribute resources and organize her employees according to the plan which include.

- Identification of activities.
- Classification of grouping of activities.
- Assignment of duties.
- Delegation of authority and creation of responsibility.
- Coordinating authority and responsibility relationships.

3. Commanding

When given orders and clear working instructions, employees will know exactly what is required of them. Return from all employees will be optimized if they are given concrete instructions with respect to the activities that must be carried out by them. Successful managers have integrity, communicate clearly and base their decisions on regular audits. They are capable of motivating a team and encouraging employees to take initiative.

4. Coordinating

When all activities are harmonized, the organization will function better. Positive influencing of employees behaviour is important in this. Coordination therefore aims at stimulating motivation and discipline within the group dynamics. This requires clear communication and good leadership. Only through positive employee behaviour management can the intended objectives be achieved.

5. Controlling

By verifying whether everything is going according to plan, the organization knows exactly whether the activities are carried out in conformity with the plan.

Control takes place in a four-step process:

1. Establish performance standards based on organizational objectives
2. Measure and report on actual performance
3. Compare results with performance and standards
4. Take corrective or preventive measures as needed

(c) Purpose of Managing Money, Men Materials ~~ethinics~~ machines

(d) Concept of Authority and responsibility

Authority is the power to give orders and get it obeyed or in other words it is the power to take decisions. Responsibility means state of being accountable or answerable for any obligation, trust, debt or something or in other words it means obligation to complete a job assigned on time and in best way.

(e) Appraise Management by objectives (MBO)

MBO (management by objectives) methods of performance appraisal are results-oriented. That is, they seek to measure employee performance by examining the extent to which predetermined work objectives have been met. Usually the objectives are established jointly by the supervisor and subordinate.

(f) Motivation

Motivation is the reason for people's actions, willingness and goals. Motivation is derived from the word *motive* in the English language which is defined as a need that requires satisfaction. These needs could also be wants or desires that are acquired through influence of culture, society, lifestyle, etc. or generally innate. Motivation is one's direction to behaviour, or what causes a person to want to repeat a behaviour, a set of force that acts behind the motives.

(g) Concept of Theory X and Y

The concept of Theory X and Theory Y was developed by social psychologist Douglas McGregor. It describes two contrasting sets of assumptions that managers make about their people: Theory X – people dislike work, have little ambition, and are unwilling to take responsibility. The two theories proposed by McGregor describe contrasting models of workforce motivation applied by managers in human resource management, organizational behavior, organizational communication and organizational development. Theory X explains the importance of heightened supervision, external rewards, and penalties, while Theory Y highlights the motivating role of job satisfaction and encourages workers to approach tasks without direct supervision. Management use of Theory X and Theory Y can affect employee motivation and productivity in different ways, and managers may choose to implement strategies from both theories into their practices.

(h) Examine problems of leadership in organization

Here are seven of the biggest problems with leadership today:

1. Failure to Communicate. The complexity of today's business world requires CEOs to be able to communicate on multiple levels. ...
2. Lack of Accountability. ...
3. Fear of Firing. ...
4. Lack of Alignment. ...
5. Lack of Clear Vision. ...
6. Poor Execution. ...
7. A Company Culture by Default.

(3) Element of Marketing

(a) The market is a process which sets the price of the product with demand and supply forces. Conversely, Marketing is a process which analyses, creates, informs and delivers value to the customers. The concept of marketing is wider than the concept of a market. The market varies by product, place and other factors

(b) Marketing Mix

The marketing mix (also known as the 4 Ps) is a foundation model for businesses. The marketing mix has been defined as the "set of marketing tools that the firm uses to pursue its marketing objectives in the target market". Thus the marketing mix refers to four broad levels

of marketing decision, namely: product, price, place, and promotion. Marketing practice has been occurring for millennia, but marketing theory emerged in the early twentieth century. The contemporary marketing mix, or the 4 Ps, which has become the dominant framework for marketing management decisions, was first published in 1960. In services marketing, an extended marketing mix is used, typically comprising 7 Ps, made up of the original 4 Ps extended by process, people, and physical evidence. Occasionally service marketers will refer to 8 Ps, comprising these 7 Ps plus performance.

(c) Product differentiation

In economics and marketing, product differentiation (or simply differentiation) is the process of distinguishing a product or service from others, to make it more attractive to a particular target market. This involves differentiating it from competitors' products as well as a firm's own products. The concept was proposed by Edward Chamberlin in his 1933 The Theory of Monopolistic Competition.

(d) Market Segmentation

Market segmentation is the activity of dividing a broad consumer or business market, normally consisting of existing and potential customers, into sub-groups of consumers (known as *segments*) based on some type of shared characteristics. In dividing or segmenting markets, researchers typically look for common characteristics such as shared needs, common interests, similar lifestyles or even similar demographic profiles. The overall aim of segmentation is to identify *high yield segments* – that is, those segments that are likely to be the most profitable or that have growth potential – so that these can be selected for special attention (i.e. become target markets).

(e) Industrial Market from consumer Market

The basic difference is Industrial market (Factor Market) is the market which produces goods and services, with inputs like labour, land, and machinery and these goods are consumed by

Consumers in Consumer Market (Product Market). Market : The place where you find buyers and sellers.

Consumer Markets:

- Buying decisions solely made by individuals.
- Fast purchasing decisions. No need to go through approval process.
- Bigger markets - many segments/target groups exist (e.g. demographic, age specific, race, etc.). Basically anyone or any groups can be your "game."
- Often, segments/target groups could be "unaware" of company's brand image. Thus, it's up to the company to create this long lasting image to potential customers using emotional, social or demographically marketing strategy - something to connect with potential customer. For example, companies can display "heart-to-heart" message on their poster.
- Some customers might stay as a long-term advocate/users but often, they feel free to shift brand.
- This day and age, many customers feel apprehensive about salespeople visiting home. Therefore, companies should employ viral marketing tactics, such as using Facebook, twitter and Youtube to get their messages across.

Industrial Markets:

- Buying decisions made by multiple buyers in the company.
- Slower purchasing decisions. Purchasers/managers must get an approval from the VP or the CFO in order to buy an expensive capital item.
- Smaller markets - few segments/target groups exist. Often, these groups are employers from companies looking after purchasing decisions (e.g. purchaser, managers, etc)
- Business segments/target groups are often educated. So in order to effectively market to these groups, companies must show facts and figures as to why their product is better than competitors. Not really necessary to use emotional, social and demographically targeted marketing strategies.
- Forms a long-term and ongoing relationship with vendor.

- Door-to-door marketing required to form a long lasting relationship. You must show your face in order to make a deal!

(f) Product

In marketing, a product is an object or system made available for consumer use; it is anything that can be offered to a market to satisfy the desire or need of a customer. In retailing, products are often referred to as merchandise, and in manufacturing, products are bought as raw materials and then sold as finished goods. A service is also regarded to as a type of product.

(g) Different Channel of Distribution

A distribution channel is the path by which all goods and services must travel to arrive at the intended consumer. Conversely, it also describes the pathway payments make from the end consumer to the original vendor. Distribution channels can be short or long, and depend on the amount of intermediaries required to deliver a product or service.

Distribution channels of distribution include wholesalers, retailers, distributors, and the Internet. In a direct distribution channel, the manufacturer sells directly to the consumer. Indirect channels involve multiple intermediaries before the product ends up in the hands of the consumer.

(4) **Understanding Personal Development:**

(a) Personnel management can be defined as obtaining, using and maintaining a satisfied workforce. According to Flippo, "Personnel management is the planning, organizing, compensation, integration and maintainance of people for the purpose of contributing to organizational, individual and societal goals."

(b) **Recruitment:** Recruitment refers to the overall process of attracting, shortlisting, selecting and appointing suitable candidates for jobs (either permanent or temporary)

within an organization. Recruitment can also refer to processes involved in choosing individuals for unpaid roles.

(c) **Appraise Evaluation and Merit rating:** Merit rating implies systematic evaluation of the performance of the employees by some qualified persons. There are "various formal systems of appraisal or merit rating in which the individual is compared with others and ranked or rated.

(d) **Importance of Education Training and Development:** A training program allows you to strengthen those skills that each employee needs to improve. A development program brings all employees to a higher level so they all have similar skills and knowledge. This helps reduce any weak links within the company who rely heavily on others to complete basic work tasks.

(e) **Skills Training:** Skills training. Skills training is designed to provide employees with the targeted training they need to gain the knowledge and abilities necessary to fulfill the specific requirements of their job positions. Such training can be especially beneficial for jobs that require applicants to have experience.

(f) **Trade Unionism: Trade union**, also called labour **union**, association of workers in a particular **trade**, industry, or company created for the purpose of securing improvements in pay, benefits, working conditions, or social and political status through collective bargaining.

(g) **Industrial Court:** The Industrial Court (the Court) is a Tribunal Non-Departmental Public Body with statutory powers. It was originally set up in 1919 to provide arbitration in industrial disputes and it still carries out this voluntary arbitration role.

(5) **Maintenance schedule and replacement strategy**: Maintenance is carried out following detection of an anomaly and aimed at restoring normal operating conditions. This approach is based on the firm belief that the costs sustained for downtime and repair in case of fault are lower than the investment required for a maintenance program. This strategy may be cost-effective until catastrophic faults occur.

(a) **Purchasing:** Purchasing refers to a business or organization attempting to acquire goods or services to accomplish its goals. Although there are several organizations that attempt to set standards in the purchasing process, processes can vary greatly between

organizations. Typically the word "purchasing" is not used interchangeably with the word "procurement", since procurement typically includes expediting, supplier quality, and transportation and logistics (T&L) in addition to purchasing.

(b) **Analysis Storage and stock ordering:** A stock order simply means the ordering of new stock to refill the inventory, replenish shelves or when a large order has been made etc. The warehouse will be contacted and the delivery will be made. Supermarkets are at the forefront of stock order technology, in that the whole process is completely computerized While Most organizations struggle with attaining real-time performance and utilization metrics on their storage infrastructure. There are many reasons for this, but mainly it is due to the vast number of disparate storage devices that exist in the architecture.

(c) **Importance of production:** Productivity is a measure of the efficiency of production. It is a ratio of actual output (production) to what is required to produce it (inputs). ... For businesses, productivity growth is important because providing more goods and services to consumers translates to higher profits.

(d) **Quality control:** Quality control is a process by which entities review the quality of all factors involved in production. ISO 9000 defines quality control as "A part of quality management focused on fulfilling quality requirements".

(e) **Maintenance culture in Nigeria:** Maintenance culture is an attitude which is sadly lacking in Nigeria, whether in the home, office, school or factory. Mbamali (2003) added that poor maintenance culture has become a widely recognized problem in Nigeria which has poorly affected the quality of public properties

(f) **Depreciation and Scrap Value:** Determine the cost of the asset. Subtract the estimated salvage value of the asset from the cost of the asset to get the total depreciable amount. Determine the useful life of the asset. Divide the sum of step (2) by the number arrived at in step (3) to get the annual depreciation. The formula to calculate depreciation expense involves two steps: (1) determine depreciation per unit ((asset's historical cost – estimated salvage value) / estimated total units of production during the asset's useful life); (2) determine the expense for the accounting period (depreciation per unit X number of units. In financial accounting, scrap value is associated with the depreciation of assets used in a business. In this situation, scrap value is defined as the expected or estimated value of the

asset at the end of its useful life. Scrap value is also referred to as an asset's salvage value or residual value.

(6) **Understanding Money and financial Institution:**

(a) **Money:** Money is any item or verifiable record that is generally accepted as payment for goods and services and repayment of debts, such as taxes, in a particular country or socio-economic context. The main functions of money are distinguished as: a medium of exchange, a unit of account, a store of value and sometimes, a standard of deferred payment. Any item or verifiable record that fulfils these functions can be considered as money.

(b) **Function of Money:** Money is often defined in terms of the three functions or services that it provides. Money serves as a medium of exchange, as a store of value, and as a unit of account. Medium of exchange. Money's most important function is as a medium of exchange to facilitate transactions.

Medium of exchange. Money's most important function is as a medium of exchange to facilitate transactions. Without money, all transactions would have to be conducted by **barter**, which involves direct exchange of one good or service for another. The difficulty with a **barter system** is that in order to obtain a particular good or service from a supplier, one has to possess a good or service of equal value, which the supplier also desires. In other words, in a barter system, exchange can take place *only* if there is a **double coincidence of wants** between two transacting parties. The likelihood of a double coincidence of wants, however, is small and makes the exchange of goods and services rather difficult. Money effectively eliminates the double coincidence of wants problem by serving as a medium of exchange that is accepted in all transactions, by all parties, regardless of whether they desire each others' goods and services.

Store of value. In order to be a medium of exchange, money must hold its value over time; that is, it must be a store of value. If money could not be stored for some period of time and still remain valuable in exchange, it would not solve the double coincidence of wants problem and therefore would not be adopted as a medium of exchange. As a store

of value, money is not unique; many other stores of value exist, such as land, works of art, and even baseball cards and stamps. Money may not even be the best store of value because it depreciates with inflation. However, money is more **liquid** than most other stores of value because as a medium of exchange, it is readily accepted everywhere. Furthermore, money is an easily transported store of value that is available in a number of convenient denominations.

Unit of account. Money also functions as a unit of account, providing a *common measure of the value* of goods and services being exchanged. Knowing the value or price of a good, in terms of money, enables both the supplier and the purchaser of the good to make decisions about how much of the good to supply and how much of the good to purchase.

(c) Function of Central Bank: The Central Bank of Nigeria can also seek for the cooperation with other banks. It includes the cooperation with international banks and bank services. The functions of CBN includes the ability to issue directives on the cash reserve. It also provides monetary guidelines for other banks in Nigeria. The CBN through its surveillance activities over banks and non-bank financial institutions seeks to promote a sound and efficient financial system in Nigeria. Banker and Financial Adviser to the Federal Government.

(d) **Function of Commercial Bank:** The public deposits are used by commercial banks for the purpose of granting loans to individuals and businesses. Commercial banks grant loans in the form of overdraft, cash credit, and discounting bills of exchange. Commercial banks are the most important components of the whole banking system. A commercial bank is a profit-based financial institution that grants loans, accepts deposits, and offers other financial services, such as overdraft facilities and electronic transfer of funds.

(e) **Types of Insurance policy:**

Life Insurance

Life insurance is important if you have people who are dependent on you financially. If you were to die unexpectedly then your salary would no longer be available to cover regular household expenses such as mortgage payments, and utility bills, and your family would suffer financial hardship as a result. Life insurance is designed to cover these expenses in your absence, and to ease the financial burden experienced by your family at what would already be a very difficult time.

Health Insurance

Health insurance is another one of the four main types of insurance that experts recommend. A recent study revealed that sixty two percent of personal bankruptcies in the US in 2007 were as a direct result of health problems. A surprising seventy eight percent of these filers had health insurance when their illness began. These figures demonstrate that it is important to take out health insurance, and to assess whether your level of cover, if you already have a policy in place, is adequate.

Disability Insurance

Many of us doubt that we will ever become disabled, and therefore we omit to take out long-term disability coverage. However, figures show that three in ten workers will become disabled before they reach retirement age, and that twelve percent of the population is currently disabled; almost fifty percent of these people are of working age.

Auto Insurance

Laws vary between different countries, but the importance of auto insurance remains constant. Even if it is not a legal requirement to take out auto insurance where you live it is highly recommended that you have some type of policy in place as you will still have to assume financial responsibility in the case of an accident.

~~(7) Investment Management~~

1b FORMS OF BUSINESS OWNERSHIP

There are four (4) types of business organisations that are widely in practice today and it is always advisable to evaluate the environment as well as the financial position of the proprietor before establishing any of the following forms of business organisations:-

(1) SOLE PROPRIETORSHIP BUSINESS:-
This is the most common form of business enterprise that is widely practiced in Nigeria. It is independently owned, operated and controlled by one person that is why it is regarded as "one man show" or "one man business". This implies that, the proprietor finances and manages the business without seeking the assistance of another party. It is also pertinent to note that being the sole owner of the business does not necessarily mean that he

Can not employ the service of another person in the course of running the business in as much he performs the managerial responsibilities.

ADVANTAGES OF SOLE PROPRIETORSHIP BUSINESS

1- He is the boss.
2- Quick decision making.
3- Close relationship with customers /workers (Human relation).
4- Self-interest.
5- Small market.
6- privacy.
7- Limited source of raw materials

DISADVANTAGES OF SOLE PROPRIETORSHIP BUSINESS

1- Small capital.
2- Lack of continuity.
3- Lack of specialisation.
4- Unlimited liability.
5- Lack of skilled personnel.

(2) PARTNERSHIP BUSINESS:- partnership business is a business that is formed by two (2) to twenty (20) partners or two (2) to ten (10) partners for general and professional partnership respectively. The partners are divided in to two. namely; the active and sleeping (dormant) partners. This business is regulated by a document known as "deeds of partnership" which is drawn by a solicitor.

DEEDS OF PARTNERSHIP (Article of partnership)

1- The name of business.
2- The nature of business to be undertaken.
3- The amount of capital to be contributed by each partner.
4- The profit sharing formula (ratio).
5- The procedure for the termination of the business.
6- The method of admitting new partners.
7- The duration of the partnership.
8- Withdrawals from partnership.
9- Dissolution of partnership.
10- The management of the contributions of the partners on the death or withdrawal of a partner.

TYPES OF PARTNERS

The partinership is identified with the following classes of partners ranging from:-

1- Active or General partner:- This is the most dominating partner that participates in the management of the day to day affairs of the organisation.

2- Nominal or Quasi partner:- This is a partner whose name is used in the business and does not participate in the running of the organisation including the sharing of the profit that may likely accrue to the organisation.

3- Special partner:- He is a partiner that is limited by virture of the organisation and the death or bankruptcy of this partner does not lead to the dissolution of this business.

4- Dormant or Sleeping partner:- As the name Implies, this is the firm partner that does not participate in the management of the organisation. The sleeping partner however, contributes to the capital and partakes in the sharing of the profit that may likely accrue to the business.

(5) Secrete partner:- This is the partner that has full membership and the general public is not aware of his membership. He is identified to participate in the management, contribute capital and above all enjoy the profit that will be shared based on the sharing formula.

(6) Silent partner:- This is the reverse of the secret partner. The general public is aware of his existence and does not participate in the management of the organisation despite the fact that he contributes capital and take part in the sharing of the profit.

MERITS OF PARTNERSHIP BUSINESS

1- More capital.
2- Wiser Decision.
3- Specialisation and Division of labour.
4- privacy.
5- personal Relationship with customers and workers.
6- Sharing of business risks.

DEMERITS OF PARTNERSHIP BUSINESS

1- Death.
2- Unlimited Liability
3- Collective Responsibility.

4- There is room for distrust and quarrel.
5- Slow Decision making process.

(3) CO-OPERATIVE SOCIETIES:- These are associations and societies that are formed by group of people, who pool their resources together with the common purpose of making profit for the benefit of their members.

Cooperative Societies in Nigeria are governed by Status and are usually supported by government. The members of such group do participate in co-ordinating the activities of the business without necessarily been paid since they are entitled to a given interest based on the amount of capital contributed. The members also enjoy patronage dividends and the share of their profit is dependent on the extent of the participation in the enterprise.

TYPES OF CO-OPERATIVE SOCIETY

There are three types of co-operative societies and they include:-

1-producer's co-operative societies:- These are associations and societies that are formed with the singular aim of promoting the common interest of its members in the area of pricing and marketing of their products. These types of associations are commonly practiced by farmers who contribute their money to buy inputs on a large scale in order to tap the synergy of large purchase. The essence of bulk purchase is to enjoy the economy of low unit cost in order to dispose the products at ~~increased~~ increased market prices to its members.

2- Consumers' co-operative societies:- These are also associations that are primarily established by consumers of certain products. The promoters of these associations are more or less group of retailers that are aimed at buying products at a wholesale

price and dispose the products at the retail or prevailing market price.
The drive behind this type of transaction is aimed at eliminating the middlemen in the distribution of the products in order to avoid unnecessary changes.

3- Thrift and credit co-operative societies:- As the name implies these societies are solely established in order to ginger the culture and practice of savings among members with the mutual understanding and common purpose. These associations are classified in Nigeria as "Ugbakego", "Adachi", These associations are common in Nigeria and they are found within and outside the work circles.

ADVANTAGES OF CO-OPERATIVE SOCIETIES

1- Increase in profit/income.
2- Economic of Scale.
3- Stimulating Entrepreneurial activities.
4- Stimulate Savings.
5- promote Democratic principles.

6- Less tax.

DISADVANTAGES OF CO-OPERATIVE SOCIETIES

1- Lack of Sufficient capital
2- Lack of Skilled personnel and Managers.

(4) PUBLIC CORPORATIONS:- These organisations are also known as public enterprises and they are set up by government to promote some of its objectives. The public corporations are divided into three types:-

1- Statutory corporations:- these are enterprises that are established by some of its objectives. The public corporations are divided into; public utility, Development and finance and Welfare and Social Services corporations.

(2)- public utility corporations: include power holding company of Nigeria (PHCN), Nigerian Telecommunications plc (NITEL) etc.

(3)- Development and finance corporations:- these are enterprises that are specifically established to promote industrial and enterpreneurial activities.

Some of the enterprises identified under this include:

⇒ Nigerian Agricultural Co-operative and Rural Development Bank (NACRDB).

⇒ Federal Mortgage Bank (FMB)

⇒ Bank of Industry (BOI)

Welfare and Social Service Corporations

:- These are Statutory enterprises established by government in order to promote Social welfare Services to its citizens. This include:-

- Voice of Nigeria (VON)
- Nigerian Television Authority (NTA)
- Adamawa Television Authority (ATV)